Leroy Merlin — Deep Research Report

Prepared for: Digital, Tech and Cyber Director

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1. Company at a glance

Leroy Merlin is the flagship banner of ADEO, the French home-improvement group headquartered at Ronchin near Lille and controlled by the Association Familiale Mulliez. ADEO reported gross business volume of €32.7 billion including VAT for 2025, across a network it describes as 1,300 stores, marketplaces and partners on four continents, with 115,000 employees. It positions itself as the European leader and third-largest player worldwide in home improvement, and says it is the only operator in its market with that international spread.

Six retail banners sit under the holding: Leroy Merlin, Weldom, Bricocenter, Saint-Maclou, Kbane, and the professional-market "M" family comprising Bricoman, Obramat, Tecnomat and Obramax. Employee shareholding is unusually deep and is treated as part of the group's identity. At the March 2026 general meeting, held simultaneously in six countries and marking forty years of the scheme, ADEO reported 80,000 employee shareholders — around 70% of the workforce — and said it had redistributed 25% of its results in 2025 through profit-sharing arrangements.

In France, ADEO's banners generated €11.1 billion in 2025, up 1% year on year, lifting group market share to 50.9% from 49.8%. Leroy Merlin France alone reported business volume of €9.8 billion, up 1.4%, with more than 90 million transactions (up 1%) and more than 600 million visits to leroymerlin.fr (up 10%, or between 1.5 and 2 million visits a day). The company reported double-digit e-commerce growth and click-and-collect growth above 5%.

Leadership has settled since the 2023–24 turnover. Thomas Bouret became ADEO chief executive on 1 January 2024, succeeding Philippe Zimmermann who stepped down for health reasons. Agathe Monpays, born in 1994 and previously running Leroy Merlin in Greece and Cyprus, took over Leroy Merlin France in May 2023 — succeeding Bouret himself in that role. She reshaped her leadership team again with appointments effective 1 January 2026, naming Eloy Del Moral, Fodil Yazid and Venceslas Boutan as deputy managing directors. Leroy Merlin France runs around 144 stores with roughly 28,000 employees.

Questions to ask on the day:

- How is the technology and cyber organisation shaped across six banners — one global function, brand by brand, or hub and spoke?
- What changed operationally for your remit after the 2024 group CEO transition?
- Which decisions genuinely sit with you, and which sit with a country or banner managing director?

2. Strategic direction

ADEO's stated purpose is to make home a positive place to live, and the growth story it tells publicly rests on three things: marketplace, the professional channel, and services around energy renovation and circularity. Marketplace is the sharpest of these for a technology function, because it converts assortment growth into integration work: ADEO has stated that marketplace accounts for more than 80% of its e-commerce growth, and the platform runs on Mirakl.

The deeper technology story at group level is a deliberate make-over-buy posture. Matthieu Grymonprez, who holds the group role now described as Global Leader Digital Data IA Tech, has spent more than two decades inside the group and has driven the consolidation of what were twenty-four national information systems into a small number of shared platforms governed by a common tech radar and documented APIs. He defends a heavily weighted build position — publicly around 70% build against buy — on the grounds that competitive differentiation cannot come from purchased software alone, and frames that preference as a sovereignty question: keeping control of the abstractions, skills and contracts that make an exit thinkable.

Retail media has become a group business line and has been folded into Valiuz, the Mulliez-ecosystem data venture, as part of a broader European retail media play. That places customer data flows across a shared vehicle rather than purely inside ADEO's own perimeter.

The AI position is notably unhyped, which matters because it shapes what the attendee will and will not be asked to fund. Grymonprez has said publicly that genuinely autonomous agents are practically nowhere in production, that ADEO's work sits in orchestrated processing chains rather than pure agentics, and that he expects roughly 20% of AI's impact to land on customer experience and 80% on the back office. He has also explicitly refused the argument that AI automatically justifies a large increase in technology spend, preferring to frame the benefit as absorbing more complexity rather than reducing headcount.

Questions to ask on the day:

- Where has the make-over-buy posture been hardest to defend in the last year?
- Retail media through Valiuz puts customer data in a shared vehicle. How does that land on your governance?
- Beyond marketplace and Pro, which pillar is the technology function actually being judged against this year?

3. Industry forces

The market is contracting. The French DIY market fell to €21.8 billion in 2025, down 1.4%, after a 4.3% decline in 2024. ADEO grew 1% in that market and took share, but the backdrop matters for budget conversations: the sector is concentrated, with four groups holding 98% of French big-box DIY turnover and ADEO and Kingfisher alone accounting for 76%. Several competitors are in sharp decline — Bricocash down 8%, Bricorama down 7.9%, Mr Bricolage's affiliate network down more than 13%, and Tridôme disappearing with turnover down 32%.

Against soft demand, e-commerce and marketplace are where the growth is, which is precisely the area that expands the attack surface. Every additional seller, API and payout route is both a revenue line and a third-party risk.

Cybersecurity has become the sector's defining operational risk rather than a technical specialism. The spring 2025 attacks on Marks & Spencer, Co-op and Harrods — attributed to Scattered Spider affiliates deploying DragonForce ransomware — remain the reference event European retail boards use to test preparedness, not least because M&S confirmed the initial compromise came through a third-party help desk rather than a technical vulnerability. That pattern, social engineering against outsourced support, is directly relevant to a group running federated IT across fifteen countries with multiple service providers.

AI adoption across the sector has moved from pilots to production in the areas where volume makes manual work impossible — catalogue quality, personalisation, search — rather than in the customer-facing assistants that attract most coverage.

Questions to ask on the day:

- Where do you see the group's exposure against the help-desk and MSP pattern that hit UK retailers?
- Does a declining market make the cyber budget conversation harder or easier?

4. Regulatory and compliance frame

Four regimes bear on this role simultaneously, and their overlap is the actual problem rather than any one of them.

GDPR is the immediate one, and it is not theoretical here. Leroy Merlin notified the CNIL and filed a criminal complaint following the December 2025 incident, and published a customer-facing FAQ setting out exactly which data categories were affected. Any further enforcement follows from how that notification and remediation were handled.

NIS2 extends cyber-resilience obligations to a far wider set of entities than its predecessor, including retailers processing large volumes of customer data and operating interconnected supply chains, with documented incident management, mandatory reporting of significant incidents and periodic review of security measures. Because it is a directive, member states have transposed at different speeds and in different forms — the core reason a fifteen-country group ends up maintaining several versions of the same evidence.

CSRD scope shifted materially in 2026. ADEO stated in its 2024 extra-financial declaration that it was covered by the CSRD reporting obligation from the financial year beginning 1 January 2025. The Omnibus I Directive, in force since 18 March 2026, raised thresholds to more than 1,000 employees and more than €450 million net turnover and moved application to financial years beginning on or after 1 January 2027, while allowing member states to grant a transition exemption for companies that began reporting for FY2024 and fall outside the revised scope. ADEO sits far above both thresholds and remains in scope, so the narrowing does not relieve it — but the timetable and the standards themselves have moved, and any plan built on the original CSRD waves is now out of date.

The EU AI Act's obligations for general-purpose AI models entered application on 2 August 2025, with high-risk system rules phasing in through 2026 and 2027. Deployer organisations still carry oversight, documentation and transparency duties for in-scope uses — which collides directly with the group's own acknowledgement that employees are already building their own tools.

France's duty of vigilance law requires an annual published plan mapping and preventing severe risks across the group and its supply chain, and ADEO publishes one.

Questions to ask on the day:

- Is there a single evidence baseline across countries, or fifteen versions maintained separately?
- Has AI use been formally inventoried across banners, and who owns that inventory?
- Where does your remit start and stop against the group DPO and the CSRD reporting owner?

5. The technology and cyber leader's world at ADEO

Two public accounts define the shape of this role better than any generic role description.

The first is catalogue scale. ADEO manages close to 15 million product references, of which around 7 million are published and visible to customers. No human organisation can quality-control that volume, so multiple AI models already sit inside the internal process: images are analysed automatically, descriptions are checked, product record quality is verified and inconsistencies are caught before publication. Grymonprez describes sorting seven million products to Leroy Merlin's standard and into the right categories as work that AI does entirely. This is the clearest illustration of where the group sees present-day AI value — automating what could not be done manually at all, rather than replacing what people currently do.

The second is shadow AI, which the group treats as an established fact rather than a future risk. Grymonprez has described an employee building their own tool to solve a specific cladding problem that was not on the technology roadmap, and argues that the only workable response is a very open framework, because usage will happen regardless. He is explicit that creating tools is now easy while maintaining, securing and governing them is not — and that the resulting questions are organisational rather than technical: who is responsible when an agent produces an error, who maintains locally built solutions, how data consistency is guaranteed across the group. His stated principle is that accountability must remain human regardless of whether a task was done by a person, an algorithm or an agent.

A related and less obvious problem he raises is enterprise semantics. In a group spanning several banners, countries and organisations, core concepts do not share a single definition — he notes that even revenue does not mean the same thing in every company. For AI systems expected to interpret and connect data across multiple systems, harmonising business concepts becomes a prerequisite rather than a refinement.

On the operational side, Leroy Merlin France has been rebuilding its checkout systems since 2021, a roughly two-year build to replace a fragmented estate in which assisted and self-service journeys ran on different technical components. Saad Barhoun, who leads customer relations, service, checkout and payments, has described the legacy solutions as stable but hard to evolve and siloed by journey, limiting the ability to launch new checkout formats, simplify store colleagues' tooling and adapt to changing fiscal and regulatory requirements. The replacement, built on TCS Omnistore, unifies assisted, semi-assisted and autonomous checkout on an API-driven architecture.

Security has visible governance maturity in places — Leroy Merlin Italy's CISO has presented publicly on risk-based vulnerability management — but no group-level cyber organisation, budget or SOC model is publicly described.

Questions to ask on the day:

- The open-framework answer to shadow AI needs a way to see what exists. How do you inventory it?
- Who is accountable when a locally built agent gets something wrong, and has that been tested yet?
- Is the semantics work funded as a programme, or does each AI use case solve it locally?
- After the checkout replatform, which system is next and what is blocking it?

6. Peer signals

Kingfisher is the closest and most instructive comparison, because it publishes what ADEO does not. For the year to 31 January 2026 it reported total sales of £12,945 million and adjusted profit before tax of £560 million, up 6%, with capital expenditure of £388 million, £71 million higher year on year as it invested in technology and stores. Its marketplaces reached breakeven after two years of operation. Its AI-driven product recommendation and personalisation engines are live in every banner outside Iberia, accounting for around £165 million of group sales, up 40%, and its Lens visual search has handled roughly 300,000 searches. Its Core IQ insight platform, built on first-party data in Castorama France, is being rolled out to all banners during 2026, and retail media has been brought in-house with a group centre of excellence and a dedicated team per banner, targeting 3% of e-commerce sales. Its stated medium-term targets are group e-commerce at 30% sales penetration with marketplaces generating a third of that.

That last figure is the one worth carrying into the room. Kingfisher is publicly committing to a digital penetration target, an AI revenue contribution figure and a retail media percentage. ADEO's equivalent numbers are not public, which is either a disclosure choice or a measurement gap, and it is worth knowing which.

Home Depot set out at its December 2025 investor day how a decade of supply chain investment, a $25 billion e-commerce business and accelerating AI use are reshaping its customer and professional experiences, and reports more than a dozen AI-powered capabilities live including its Magic Apron assistant. Lowe's deployed Mylow for customers in March 2025 and Mylow Companion for store associates in May 2025, both built with OpenAI, framing the latter as the first at-scale AI assistant for retail associates.

Closer to home, ADEO and Decathlon ran a joint Dev Summit in Lille from 26 to 28 May 2026, drawing around 2,200 attendees and more than 300 speakers across AI, data, engineering, product and UX. Two Mulliez-ecosystem groups pooling their engineering communities is itself a signal about where capability is being built.

Questions to ask on the day:

- Kingfisher publishes an AI sales contribution number. Could you produce the equivalent internally today?
- Where do you sit against Home Depot and Lowe's on associate-facing AI — pursuing, watching, or deliberately not?
- What came out of the joint Dev Summit that has actually changed a roadmap?

7. Friction map

The federated model is the root of most of it. Six banners across roughly fifteen countries, each with local systems, local priorities and a local managing director, means enforcing a consistent security or compliance baseline is a negotiation rather than a technical decision. The model was designed for retail speed and local autonomy, not for a single evidence baseline — so the cost lands on whoever has to answer group-level questions.

Regulatory patchwork compounds that. NIS2 transposed differently in each member state, CSRD on a moved timetable and moved standards, the AI Act phasing in, GDPR live and now with a real incident attached, and PCI DSS running alongside — each with different asset scopes and reporting cadences. The same underlying facts get reassembled in different shapes, repeatedly.

Third-party exposure grows as a direct function of the growth strategy. Marketplace sellers, IT service providers, managed service providers, logistics and payment integrators all extend the perimeter, and NIS2 explicitly pushes security duties into the supplier chain. Being more selective is not a real option when marketplace is the main e-commerce growth engine.

Shadow AI proliferation is now an operational rather than a hypothetical problem, by the group's own account. Tools are easy to create and hard to maintain, secure and govern, and nobody has yet answered at scale who owns a locally built agent after the person who built it moves on.

Post-incident work is repetitive and information-heavy. Notification, phishing guidance, monitoring for anomalous account activity, regulator interaction and coordination across legal, communications and brand teams in multiple languages — none of it is one-off, and a second data set surfacing months later restarts parts of it.

Questions to ask on the day:

- Which two of these are eating the most leadership time right now?
- Which are repeatable information workflows rather than one-off decisions?
- What changed on the priority list after December 2025?

Challenge cards

Card 1 of 2

Title: The same facts, reassembled every time

The challenge: Every audit, regulator, board question and vendor questionnaire asks for the same underlying evidence in a slightly different shape — control proof, incident history, data-protection assessments, third-party mapping — and each request has to be reassembled from six banners across fifteen countries. The team spends more time chasing, versioning and reformatting facts than judging them.

Who feels it: The Digital, Tech and Cyber Director owns the outcome; the governance and risk team, the group data protection office, country technology and security leads, internal audit and local legal teams carry the work.

Why it persists: The federated brand and country model was built for local retail autonomy and speed, not for a single compliance evidence baseline. NIS2 is transposed differently in each member state; CSRD, the AI Act, GDPR and PCI DSS overlap on different asset scopes and reporting cadences. No market-standard single evidence source exists for a group of this shape, so the effort recurs each cycle rather than compounding.

What solved looks like: A new audit, board question or regulator query is answered from a maintained, versioned evidence base in hours rather than reconstructed over weeks, and country teams stop being interrupted for the same facts several times a quarter.

Evidence base: ADEO operates six banners across roughly fifteen countries with 115,000 employees. NIS2 has been transposed at different speeds and in different forms across member states. CSRD scope and timing moved again under the Omnibus I Directive in force since March 2026, while ADEO remains above the revised thresholds. The group's own technology leadership has publicly identified inconsistent definitions of core business concepts across entities as a live obstacle.

Open question: When a regulator, auditor or major customer asks for the same class of evidence across brands and countries, how many teams in how many locations does one request touch before you can answer?

Card 2 of 2

Title: Governing what people build themselves

The challenge: Employees across the group are already building their own AI tools to solve their own problems, faster than any central function can review them. Creating them is easy; maintaining, securing and governing them is not — and the AI Act's deployer obligations assume someone knows what exists.

Who feels it: The Digital, Tech and Cyber Director owns the exposure; platform and security teams inherit the maintenance; the people who built the tools carry no formal accountability; and country and banner leadership sit between the two.

Why it persists: The group's stated position is that usage will happen regardless and that the only workable response is a very open framework rather than prohibition — a judgement that is probably correct and that also guarantees proliferation. The tools address genuine irritants that never reach the central roadmap, so the incentive to build locally is real and will strengthen as tooling improves.

What solved looks like: Locally built tools and agents are visible, attributable and maintainable — someone is named as accountable for each, there is a route for the useful ones to become supported products, and the AI inventory the regulation assumes actually exists rather than being reconstructed on demand.

Evidence base: ADEO's Global Leader Digital Data IA Tech described in June 2026 an employee building their own tool for a cladding problem that was not a technology priority, argued that the only viable approach is a very open framework, and set out the resulting open questions — who is responsible when an agent errs, who maintains locally created solutions, how data consistency is guaranteed — while stating that accountability must remain human. EU AI Act obligations for general-purpose AI have applied since 2 August 2025.

Open question: If you had to produce a list of every AI tool and automation in use across the six banners tomorrow, where would you start and how complete would it be?

Where this document is thin

- The identity and public remit of the group-level Digital, Tech and Cyber Director are not established in public sources; Matthieu Grymonprez appears as group Global Leader Digital Data IA Tech, and Alessio Setaro as CISO of Leroy Merlin Italy.
- The size, structure, SOC model and in-house versus outsourced split of the cyber function are not disclosed.
- No group cybersecurity or technology budget figure is published.
- The technical root cause of the December 2025 breach has not been made public, and no threat actor publicly claimed it.
- A criminal forum listing in mid-2026 offered a database of roughly 367,000 records described as coming from a Leroy Merlin France loyalty tool. This is an actor's claim, not a company disclosure, and its relationship to the December 2025 incident is unconfirmed.
- No CNIL enforcement outcome against Leroy Merlin has been reported.
- ADEO's group online sales share has been cited at around 9% in earlier group communications but was not confirmed in the 2025 results material reviewed here.
- Whether ADEO is scoped in France as an essential or important entity under NIS2 is not publicly stated.
- The current marketplace seller count and the number of country marketplaces live are not confirmed in recent sources.
- No public evidence exists of an AI Act inventory or general-purpose AI compliance approach beyond the group's stated open-framework philosophy.
- The engineering footprint outside France, including any India-based capability supporting this remit, is not documented publicly.